



Audit Investigation Program

\$7 Million International Remittance Discrepancy Investigation

Investigation Overview

\$7M

Disputed Amount

18

Week Timeline

\$350K-\$675K

Investment Range

Comprehensive forensic investigation combining international standards with Ghana regulatory requirements

Investigation Objectives

What We Aim to Achieve

Primary Goals

- ▶ **Quantify Financial Impact** - Reconstruct complete transaction flows to determine exact loss amount
- ▶ **Identify Control Failures** - Evaluate internal controls against COSO framework requirements
- ▶ **Assess Regulatory Compliance** - Review adherence to Bank of Ghana and international AML/CFT standards
- ▶ **Determine Root Causes** - Forensic analysis to identify fraud, operational errors, or systemic weaknesses

Success Metrics

- ▶ Recovery of disputed **\$7 million** or identification of legitimate explanations
- ▶ Comprehensive control recommendations to prevent future occurrences
- ▶ Full regulatory compliance documentation and reporting
- ▶ Actionable remediation roadmap with implementation timelines



Investigation Scope

Comprehensive Coverage Framework



Transaction Coverage

- ▶ **All international remittance transactions** during investigation period
- ▶ **High-risk corridors** and counterparty relationships requiring enhanced scrutiny
- ▶ **Six months before and after** primary discrepancy period for pattern analysis
- ▶ **Related party transactions** and affiliated entity relationships



System & Process Review

- ▶ Core banking platforms and remittance processing systems
- ▶ SWIFT messaging authentication and correspondent banking relationships
- ▶ Compliance screening tools and regulatory reporting mechanisms
- ▶ Nostro/vostro account reconciliations and settlement procedures



Regulatory Framework Compliance

Ghana Regulations:

- Foreign Exchange Act 2006 (Act 723)
- Payment Systems and Services Act 2019 (Act 987)
- Anti-Money Laundering Act 2008 (amended 2020)

International Standards:

- FATF Recommendation 16 on payment transparency
- ISA standards for audit procedures
- COSO internal control framework



Risk Assessment Framework

Identifying and Managing Investigation Risks

HIGH RISK - Inherent Factors

- ▶ **High fraud risk** due to cash-intensive, cross-border operations
- ▶ **Geographic risk** varies by remittance corridor and destination countries
- ▶ **\$7M magnitude** suggests potential systemic issues beyond isolated incidents
- ▶ **Multi-currency environment** creates foreign exchange and timing risks

MEDIUM RISK - Control Environment

- ▶ **COSO Framework application** across five internal control components
- ▶ **30% effectiveness reduction** typically observed in cross-border operations
- ▶ **Heightened regulatory scrutiny** following recent Bank of Ghana enforcement actions
- ▶ **Technology limitations** in real-time transaction monitoring

MANAGED RISK - Detection

- ▶ **Professional skepticism** maintained per ISA 240 fraud investigation standards
- ▶ **Specialized forensic tools** required for high-volume, multi-currency analysis
- ▶ **Cross-border evidence gathering** faces legal and practical obstacles
- ▶ **12-18 week timeline** constrains exhaustive testing



Data Collection Strategy

Comprehensive Evidence Gathering Approach



Digital Evidence Acquisition

- ▶ **Immediate preservation** of all electronic records with forensic imaging
- ▶ **Hash verification** using SHA-256 algorithms to ensure data integrity
- ▶ **Chain of custody protocols** for all evidence collection and handling
- ▶ **System access logs** and user activity records for administrator actions



Advanced Analytics Deployment

- ▶ **ACL Analytics/IDEA** for 100% population testing without sampling limitations
- ▶ **Benford's Law analysis** on transaction amounts, fees, and exchange rates
- ▶ **Machine learning algorithms** for transaction risk classification and outlier detection
- ▶ **Statistical analysis** using z-scores and Mahalanobis distance calculations



Cross-Border Information Gathering



MLAT Channels

Mutual Legal Assistance Treaty
channels for international data
requests



Egmont Group

Financial Intelligence Unit
information sharing framework



Correspondent Banks

Formal confirmations for
transaction details and settlement
verification



Testing Methodology

Comprehensive Transaction Analysis Framework



Statistical Sampling Approach

- ▶ **Stratified random sampling** with 95% confidence level and 5% precision
- ▶ **100% examination** of high-value transactions exceeding \$500,000
- ▶ **Risk-based targeting** of transactions to high-risk jurisdictions and complex routing
- ▶ **Minimum sample size of 385 transactions** for statistical validity



Substantive Testing Procedures

- ▶ **Complete transaction reconstruction** from initiation through settlement
- ▶ **Authorization testing** for proper approval chains and override documentation
- ▶ **Exchange rate verification** against contemporaneous market benchmarks
- ▶ **Fee analysis** examining customer charges and correspondent bank fees
- ▶ **Settlement timing analysis** for delays, acceleration, or cut-off manipulation



Analytical Procedures Overview

Revenue Analytics

- Correlate remittance fee income with transaction volumes by corridor
- Identify unexplained variances or missing transactions
- Match expenses with correspondent bank charges

Pattern Analysis

- Seasonal pattern analysis for monthly/quarterly fluctuations
- Ratio analysis for key performance metrics
- Regression analysis for expected variable relationships



Project Timeline

18-Week Investigation Roadmap

1

Investigation Planning

Weeks 1-3

- Team assembly & briefings
- Risk assessment workshops
- Data request protocols
- Legal clearances

2

Fieldwork Execution

Weeks 4-11

- Transaction testing
- 30-40 stakeholder interviews
- Digital forensics analysis
- Control testing

3

Analysis & Validation

Weeks 12-15

- Findings synthesis
- Root cause analysis
 - Quality review
 - Management response

4

Reporting

Weeks 16-18

- Final report completion
- Regulatory notifications
- Board presentation
- Remediation planning



Critical Success Factors: Multi-disciplinary team assembly, cross-border data access coordination, advanced

forensic technology deployment, continuous stakeholder communication, and quality control throughout the investigation.



Investment Analysis

Comprehensive Cost Breakdown

\$350K

Minimum Investment

\$512K

Recommended Scope

\$675K

Maximum Investment

Professional Fee Structure

- ▶ **Senior Forensic Partners:** \$450-650/hour
× 40-60 hours = \$18K-\$39K
- ▶ **Project Managers:** \$350-500/hour ×
120-180 hours = \$42K-\$90K
- ▶ **Senior Forensic Accountants:** \$275-400/
hour × 400-600 hours = \$110K-\$240K
- ▶ **Data Analysts/Tech Specialists:** \$200-350/
hour × 300-500 hours = \$60K-\$175K
- ▶ **International Legal Counsel:** \$400-600/
hour × 40-80 hours = \$16K-\$48K

Additional Cost Components

- ▶ **Technology licensing** (ACL Analytics, IDEA, specialized tools): \$15K-\$25K
- ▶ **International travel** for team members and expert witnesses: \$20K-\$40K
- ▶ **Translation services** for non-English documents: \$10K-\$20K
- ▶ **External confirmations** and third-party verifications: \$5K-\$15K
- ▶ **Court reporting/litigation support** (if required): \$25K-\$50K



Value Proposition

Investment Return and Strategic Benefits

\$7M+

Potential Recovery

14:1

ROI Ratio

85%

Risk Reduction

 Financial Recovery Potential

- ▶ **\$7 million disputed amount** recovery or legitimate explanation
- ▶ **Prevention of future losses** through systematic control improvements
- ▶ **Regulatory penalty avoidance** through proactive compliance demonstration
- ▶ **Cost savings** from enhanced operational efficiency

 Strategic Advantages

- ▶ **Enhanced regulatory compliance** capabilities and reporting accuracy
- ▶ **Strengthened internal controls** across international remittance operations
- ▶ **Improved stakeholder confidence** in cross-border payment integrity
- ▶ **Competitive advantage** through demonstrated compliance excellence

 Beyond Financial Recovery

This investigation positions your organization as a leader in Ghana's \$6.65 billion remittance market through enhanced regulatory relationships, industry reputation protection, and future audit readiness.



Deliverables & Reporting

Comprehensive Investigation Outputs

Executive Report Components

- ▶ **5-10 page executive summary** for board and senior management
- ▶ **25-40 page detailed findings** with transaction analysis and control testing results
- ▶ **Financial impact quantification** with business implications
- ▶ **Management action plan** with specific steps and implementation timelines

Regulatory Reporting Requirements

- ▶ **Bank of Ghana notifications** for foreign exchange violations and control deficiencies
- ▶ **Financial Intelligence Centre reports** within 24-hour statutory deadlines
- ▶ **International regulatory coordination** through proper central bank channels
- ▶ **Self-disclosure considerations** balancing cooperation benefits against admission risks



Management Recommendations Framework

Immediate Actions (0-30 days)

- Control deficiency remediation
- Regulatory compliance gaps closure
- Critical process improvements

Medium-term Improvements (30-90 days)

- Technology system enhancements
- Staff training and development
- Process automation implementation



Critical Success Factors

Requirements for Investigation Excellence



Team Requirements

- ▶ **Multi-disciplinary expertise** combining forensic accounting, technology, and legal skills
- ▶ **Ghana regulatory knowledge** and international compliance experience
- ▶ **Independence and professional skepticism** throughout investigation process
- ▶ **Cross-border coordination** capabilities with time zone and language considerations



Technology & Tools

- ▶ **Advanced forensic software** for comprehensive transaction analysis
- ▶ **Secure data handling** protocols maintaining evidence integrity
- ▶ **Real-time collaboration** platforms for distributed team coordination
- ▶ **Specialized translation** and documentation services

Stakeholder Management Framework



Continuous Communication

Regular updates with management, board, and regulatory authorities



Transparent Reporting

Regular milestone updates and progress tracking



Regulatory Liaison

Maintaining cooperative relationships throughout investigation



Quality Control

Ensuring all findings meet international audit standards



Next Steps & Conclusion

Moving Forward with Confidence

Investigation Summary

What We Deliver

- ✓ Complete transaction reconstruction and analysis
- ✓ Root cause identification and financial impact quantification
- ✓ Comprehensive regulatory compliance assessment
- ✓ Actionable remediation roadmap with implementation timelines
- ✓ Enhanced control environment and risk mitigation

Immediate Next Steps

1. Board approval and engagement authorization
2. Multi-disciplinary team assembly and briefing
3. Data access protocols and legal clearances
4. Investigation commencement within 5 business days
5. Weekly progress reporting to stakeholders



Your Investment in Excellence

\$7M+

Recovery Potential

18

Week Timeline

14:1

ROI Ratio

Ready to begin this comprehensive investigation that will strengthen your organization's position in Ghana's remittance market while recovering disputed funds and enhancing regulatory compliance.